

08-supplementary-tcs

Pemberton Engineering Ltd. — Issued in support of RFQ 073

Document — supplementary to RFQ pack PEL/PROC/2026-RFQ-073 Issued: 21 May 2026 **From:** Priya Khatri, Senior Category Manager — Indirect & MRO **To:** Stanford Industrial Supply Co. (Bid Desk)

Dear Bid Desk,

Following internal review with our legal team since the RFQ pack was issued on 11 May 2026, the following supplementary terms and conditions shall apply to any framework arrangement awarded under RFQ 073. **These supplementary terms shall be incorporated into the Master Supply Agreement (Document 02) and shall prevail over the corresponding provisions of the MSA in the event of conflict.**

Bidders are asked to confirm acceptance of these supplementary terms in their bid response, or to flag any exceptions in their redlined MSA submission.

1. Most-Favoured-Customer Audit

In addition to the most-favoured-customer pricing representation in clause 7 of the Pricing Schedule, Buyer shall have the right to audit Supplier's pricing to other customers on a sample basis no more than twice per calendar year. The audit may be conducted by a third-party benchmarking firm of Buyer's nomination. If the audit reveals that Supplier has charged Buyer more than the lowest price charged to any comparable customer in the preceding twelve (12) months, Supplier shall (i) refund the difference; (ii) pay liquidated damages equal to 50% of the excess; and (iii) bear Buyer's audit costs.

2. Extended Audit Rights — Subsidiaries and Sub-Suppliers

The audit rights in clause 16 of the MSA and clause 12 of the GTCs shall extend to (i) all of Supplier's subsidiaries; (ii) Supplier's principal sub-suppliers (defined as any sub-supplier providing more than ten percent (10%) by value of any category to Supplier's bid). Supplier shall procure that its sub-suppliers grant equivalent audit rights to Buyer.

3. Strategic Stock Holding

Supplier shall hold strategic stock on Buyer's behalf at one or more of Supplier's distribution centres covering a minimum of four (4) weeks' Buyer demand for nominated critical-spare SKUs identified by Buyer from time to time. Strategic stock shall be (i) ring-fenced for Buyer's use; (ii) rotated to maintain shelf life; (iii) audited annually by Buyer; (iv) returned or destroyed at Buyer's election on framework expiry. Supplier shall bear the carrying cost of strategic stock for the duration of the Term.

4. Change of Control Notification

In addition to the change-of-control termination right in clause 18.2 of the MSA, Supplier shall notify Buyer in writing within five (5) Business Days of (i) any change of beneficial ownership of more than five percent (5%); (ii) any change of senior leadership at C-suite or UK Managing Director level; (iii) any negotiation that could lead to a change of control within the following twelve (12) months.

5. ESG Performance-Linked Rebate Adjustment

Notwithstanding the rebate ladder in the Pricing Schedule, where in any calendar year Supplier fails to provide the annual ESG attestation under MSA clause 13.3 by 30 April, or where any

material non-compliance is disclosed in such attestation, Buyer may reduce the rebate ladder percentages applicable for the following calendar year by twenty-five percent (25%) of their stated values.

6. Insurance — Cyber Cover

In addition to the insurance requirements in clause 12 of the MSA, Supplier shall maintain cyber-liability insurance of not less than £10 million per claim and in the aggregate, with retroactive cover to the Effective Date and at least twenty-four (24) months' run-off cover post-termination.

7. Continuous Improvement — Cost-Out Share

Notwithstanding clause 6.2 of the SLA, cost-out benefits arising from Supplier-initiated initiatives shall be shared **80/20 in Buyer's favour** for the Initial Term (rather than the 70/30 stated in the SLA).

8. Order of Precedence

These Supplementary Terms shall be added to the precedence list in MSA clause 20.1 immediately above the GTCs (Document 05), with the result that the order of precedence shall be:

1. These Supplementary Terms
2. The GTCs (Document 05)
3. The MSA (Document 02)
4. The Compliance and ESG Annex (Document 06)
5. The SLA (Document 04)
6. The Pricing Schedule (Document 03)
7. Any Order

Bidders may flag exceptions in their bid response. Materially asymmetric responses on these supplementary terms will be scored against the Contractual Flexibility weighting.

Kind regards,

Priya Khatri Senior Category Manager — Indirect & MRO
Pemberton Engineering Ltd.

cc: Daniel Ferreira-Cross, Head of Procurement Nilima Sen, Legal
Counsel, Pemberton Engineering Ltd.